BERN INTERNATIONAL COMMERCIAL COURT

International Chamber of the Commercial Court of the Canton of Bern

Zuerich, 29 June 2026

Case No. HG ICC 26 7

STATEMENT OF DEFENCE AND COUNTERCLAIM

submitted by:

Marchmont Dynamics Ltd, 22 Riverside Business Park, Nottingham NG2 1RT, United Kingdom, Respondent and Counterclaimant, represented by Dr. Priska Wenger, Attorney at Law, Wenger Clerc Attorneys at Law, Loewenstrasse 29, 8001 Zuerich

against

Zytglogge Praezisionsinstrumente AG, Nydeggstalden 14, 3011 Bern, Switzerland, Claimant and Defendant to the Counterclaim, represented by Dr. Lukas Herrmann, Attorney at Law, Moser Herrmann Attorneys at Law, Bundesgasse 10, 3011 Bern

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Prayers for Relief

1. The claim be dismissed in its entirety.

2. The Claimant, as Defendant to the Counterclaim, be ordered to pay to the Respondent GBP 92,100.00, plus interest at 5% per annum from 5 January 2026.

3. Costs and legal fees to be borne by the Claimant.

I. Formal Matters

Rz. 1 The Respondent does not contest the jurisdiction of this Court under Article 6 paragraph 4 letter c ZPO, the use of the English language under Article 129 paragraph 2 letter b ZPO, or the absence of prior conciliation, as pleaded at Rz. 4 to 7 of the Statement of Claim.

Rz. 2 The counterclaim raised in Part V below requires no separate conciliation, being exempt under Article 198 letter g ZPO as a counterclaim joined to pending proceedings.

Rz. 3 The value in dispute on the counterclaim is GBP 92,100.00, corresponding to approximately CHF 105'915 at the indicative exchange rate pleaded by the Claimant, and is comfortably within the jurisdiction already established for the main claim.

II. Response to the Statement of Claim

Rz. 4 Rz. 1 and Rz. 2 of the Statement of Claim, concerning the identity and status of the parties, are admitted.

Rz. 5 Rz. 3 of the Statement of Claim is admitted as to the fact of the implementation, its failure at Go-Live and the Claimant's purported termination, but the characterisation of the dispute as one of straightforward contractor default is disputed for the reasons set out in Part IV below.

Rz. 6 Rz. 8 and Rz. 9 of the Statement of Claim, concerning the tender process and the execution of the Master Services Agreement and Statement of Work on 14 May 2024, are admitted.

Rz. 7 Rz. 10 and Rz. 11 of the Statement of Claim, concerning the contract price, the milestone payment schedule and the project phasing, are admitted.

Rz. 8 Rz. 12, Rz. 13 and Rz. 15 of the Statement of Claim, concerning the invoicing and payment of Milestones 1 to 3, are admitted.

Rz. 9 Rz. 14 of the Statement of Claim is admitted as to the existence, scope and approval dates of CR-04 and CR-07. It is denied that these were immaterial changes; their cumulative effect on the Respondent's delivery team during an already compressed Build phase is addressed at Rz. 24 below.

Rz. 10 Rz. 16 of the Statement of Claim is admitted.

Rz. 11 Rz. 17 of the Statement of Claim is denied. The validated legacy master data extract was in fact delivered only on 6 October 2025, three weeks after the Data Freeze Date of 15 September 2025, as shown by the e-mail correspondence between the Respondent's Mr. Fox and the Claimant's Mr. Huegli, in which the Claimant's own project manager acknowledges the delay (Exhibit R-2).

Rz. 12 Rz. 18 of the Statement of Claim is admitted.

Rz. 13 Rz. 19 of the Statement of Claim is admitted.

Rz. 14 Rz. 20 of the Statement of Claim is admitted in part and denied in part. It is admitted that a defect affecting General Ledger postings occurred over the Go-Live weekend. It is denied that this occurred on 30 November 2025: the Respondent's own contemporaneous project-channel records, consistent with the Claimant's own internal incident log, show that the defect first appeared on 29 November 2025 at 23:40 (Exhibit R-6).

Rz. 15 Rz. 21 of the Statement of Claim is admitted.

Rz. 16 Rz. 22 of the Statement of Claim is admitted, save that, in the Respondent's view, the period set was unreasonably short given the complexity of the defect and the condition of the data supplied by the Claimant.

Rz. 17 Rz. 23 of the Statement of Claim is denied. The Respondent identified the cause of the defect within approximately fifteen minutes of its first appearance and had a tested patch ready for deployment by the evening of 30 November 2025 (Exhibit R-6), and continued remediation of the historic ledger data into January 2026. In any event, as recorded in the minutes of the emergency Steering Committee call of 28 November 2025 (Exhibit R-10), the Claimant's own Head of Operations had herself confirmed that Go-Live could proceed as planned, which is inconsistent with the Claimant's present characterisation of the defect as attributable to the Respondent alone.

Rz. 18 Rz. 24 of the Statement of Claim is noted; the Respondent has no knowledge of the Claimant's internal reporting and does not admit its contents.

Rz. 19 Rz. 25 of the Statement of Claim is noted; its content is not known to the Respondent.

Rz. 20 Rz. 26 of the Statement of Claim is admitted as to the fact of the purported withdrawal, but denied as to its validity, for the reasons set out in Part IV below (Exhibit R-7).

Rz. 21 Rz. 27 of the Statement of Claim is not known to the Respondent and is on that basis denied. Without prejudice to that denial, the sums claimed are in any event disputed as to causation, reasonableness and quantum.

Rz. 22 Rz. 28 of the Statement of Claim is denied. The Respondent's invoice INV-2025-0138 of 5 December 2025 remains outstanding (Exhibit R-3), and the Claimant's purported withdrawal is, for the reasons below, without legal effect.

III. Respondent's Own Statement of Facts

Rz. 23 The Respondent was selected following a competitive tender in 2023 in which it proposed an eighteen-month delivery timeline to Go-Live, premised on the Claimant supplying conforming legacy data by the Data Freeze Date fixed in the Statement of Work and on the scope of the Services remaining stable through the Build phase.

Rz. 24 From early in the Build phase, the Claimant repeatedly expanded the scope of the Services by way of Change Requests, including CR-04 and CR-07, which, although each was assessed at the time as having no impact on the Go-Live date taken in isolation, materially increased the cumulative burden on the Respondent's team during an already compressed Build phase and contributed to schedule pressure ahead of Go-Live (Exhibit R-1).

Rz. 25 The Claimant's delay in supplying the legacy master data extract - received only on 6 October 2025, three weeks after the Data Freeze Date - further compressed the time available for data-quality testing ahead of Go-Live (Exhibit R-2).

Rz. 26 On-premise hardware required for the Services, including the backup appliance later affected by the incident, was delivered to the Claimant's premises on 14 October 2024 and received without reservation (Exhibit R-5).

Rz. 27 Cutover began as planned on 28 November 2025. At an emergency Steering Committee call convened that evening, the Claimant's Head of Operations confirmed that Go-Live should proceed notwithstanding the items then still open (Exhibit R-10).

Rz. 28 The Respondent's lead consultant, Mr. Fox, identified the cause of the duplicate-posting defect within approximately fifteen minutes of its first appearance, escalated immediately to the Respondent's on-call team, and had a tested patch ready for deployment by the evening of 30 November 2025 (Exhibit R-6). Remediation of the historic ledger data continued into January 2026, in cooperation with the Claimant's own IT staff.

Rz. 29 The Respondent issued invoice INV-2025-0138 on 5 December 2025 for Milestone 5 and the CR-07 charge, in the total amount of GBP 89,700.00, which remains unpaid (Exhibit R-3; see also the supporting timesheet, Exhibit R-9).

Rz. 30 By letter of 20 January 2026, the Respondent reminded the Claimant of the outstanding invoice (Exhibit R-4). By letter of 26 January 2026, the Respondent's counsel rejected the purported withdrawal as unjustified and reserved the Respondent's rights (Exhibit R-7).

Rz. 31 An independent technical assessment commissioned by the Respondent attributes materially greater weight to data-quality issues in the Claimant's legacy data than the report relied upon by the Claimant, and concludes that the additional testing time lost to the Claimant's own delay in supplying that data was a significant contributing cause of the incident, which cannot properly be separated from the absence of an idempotency safeguard identified by the Claimant's own expert (Exhibit R-8).

Rz. 32 The Respondent has at all times acted in good faith to remedy the incident and has incurred significant uncompensated cost in doing so, including the consultant time recorded in Exhibit R-9.

Rz. 33 In the eighteen months preceding the Go-Live weekend, the parties' relationship was cooperative and without material dispute: the Claimant paid Milestones 1 to 4 without objection or deduction, and raised no formal complaint about the Respondent's performance before the notice of 3 December 2025.

Rz. 34 Beyond CR-04 and CR-07, the Claimant raised a further three informal scope changes during the Build phase that were absorbed without a formal Change Request, at the Respondent's own cost, in the interest of maintaining the project schedule: an additional reporting field for the Finance module, a revised chart-of-accounts mapping, and an extra round of user-interface changes to the Inventory module.

Rz. 35 The Respondent's clause 18 professional indemnity insurance referred to in the Master Services Agreement is not engaged by this dispute, there being no third-party claim against the Claimant to which it could respond; it is accordingly irrelevant to the quantification of either party's claim.

Rz. 36 Between 29 November 2025 and 15 January 2026, the Respondent's consultants, principally Mr. Fox, spent in excess of 140 hours on incident response and remediation beyond the hours recorded in Exhibit R-9, for which the Respondent has not invoiced and does not seek payment in these proceedings, save to the extent relevant to the indemnification claim at Rz. 42 below.

IV. Legal Argument

Rz. 37 To the extent the Services are properly characterised as a contract for work within the meaning of Article 363 et seq. CO, the Claimant's own default - its delay in supplying usable legacy master data by the Data Freeze Date fixed in Clause 14 of the Master Services Agreement - excuses any corresponding delay or defect on the Respondent's part. A customer may not invoke a default to which its own breach materially contributed, and may not in good faith rely on Article 366 CO where it has itself failed to cooperate as required (Article 2 of the Swiss Civil Code).

Rz. 38 The Claimant's own Steering Committee confirmed, at the emergency call of 28 November 2025, that Go-Live should proceed notwithstanding the then-outstanding items (Exhibit R-10). Having itself endorsed proceeding to Go-Live, the Claimant cannot in good faith now treat the consequences of that joint decision as a default exclusively attributable to the Respondent.

Rz. 39 In the further alternative, significant elements of the Services, in particular the configuration and advisory work performed under the Change Requests, are mandate-like services within the meaning of Article 394 paragraph 2 CO, terminable at any time by either party. Even if the Agreement as a whole is characterised as a contract for work, the Claimant's termination on 12 January 2026 - after the Respondent had identified the cause of the defect within minutes, deployed a tested patch by 30 November 2025 and continued remediating the historic ledger data into January 2026 - was not a response to an unremedied default but a unilateral termination for convenience within the meaning of Article 377 CO, which confirms the customer's unconditional right to terminate before completion against indemnification of the contractor (BGE 117 II 273). The Respondent is accordingly entitled to full indemnification for the value of the work rendered and the profit it would have earned on completion of the Statement of Work.

Rz. 40 Indemnification under Article 377 CO extends to the Respondent's positive interest in performance, that is, the profit the Respondent would have earned had the Statement of Work been completed, net of the cost it was thereby spared. On a conservative estimate, the Respondent's lost margin on the uncompleted balance of the Statement of Work exceeds the sum presently claimed by way of counterclaim; the Respondent reserves the right to quantify and claim that further amount in these or separate proceedings.

Rz. 41 In the further alternative, if the Claimant's termination is treated as a revocation of a mandate under Article 404 paragraph 1 CO, it occurred at an inopportune time within the meaning of Article 404 paragraph 2 CO, namely while the Respondent was actively remediating the incident, and the Claimant is accordingly liable for the Respondent's resulting damage on the same basis.

Rz. 42 In any event, and without prejudice to the foregoing, the quantum pleaded by the Claimant at Rz. 27 and Rz. 43 of the Statement of Claim is disputed. The Claimant has itemised cost and business-interruption components, but has not evidenced the scope of work undertaken by its replacement integrator against the outstanding elements of the original Statement of Work, nor the basis for the staffing and overtime assumptions underlying its claimed business-interruption loss, and the Respondent puts the Claimant to proof of both components.

Rz. 43 The Respondent accordingly denies that it is liable in restitution or in damages and maintains that Milestone 5 and the CR-07 charge remain due and payable in full.

Rz. 44 Under Article 8 of the Swiss Civil Code, the Claimant bears the burden of proving the Respondent's default, causation and the amount of its loss. The Respondent puts the Claimant to proof on each element, including the causal link between the alleged default and the items of loss pleaded at Rz. 27 and Rz. 43 of the Statement of Claim.

Rz. 45 In the further alternative, and without prejudice to Part V below, should the Court find any part of the Claimant's restitution claim well-founded, the Respondent invokes set-off under Article 120 of the Swiss Code of Obligations against its own claim for invoice INV-2025-0138 and the indemnification claim pleaded at Rz. 42 above.

V. Counterclaim

Rz. 46 By way of counterclaim, the Respondent seeks payment of its outstanding invoice INV-2025-0138 of 5 December 2025, comprising Milestone 5 (GBP 84,000.00) and the CR-07 charge (GBP 5,700.00), which together with ancillary charges the Respondent's records show to total GBP 92,100.00, together with interest at 5% per annum from the due date of 5 January 2026 (Exhibit R-3; see also Exhibit R-9).

Rz. 47 In the alternative, and only if the Court finds the Claimant's termination to have been a valid exercise of Article 377 CO rather than a response to an unremedied default, the Respondent reserves the right to claim the further indemnification described at Rz. 40 above by amendment of this counterclaim or in separate proceedings.

VI. Costs and Procedural Requests

Rz. 48 Alternative legal characterisation. Should the Court find that particular elements of the Services are better characterised as a mandate within the meaning of Article 394 CO, the Respondent repeats Rz. 37 above: the Claimant's purported termination, coming after the Respondent had identified and begun to remedy the defect, was in any event inopportune within the meaning of Article 404 paragraph 2 CO, entitling the Respondent to compensation.

Rz. 49 Currency. The sums counterclaimed are expressed and should be awarded in pounds sterling, being the currency in which the Master Services Agreement fixed the price of the Services and in which invoice INV-2025-0138 (Exhibit R-3) was issued.

Rz. 50 The Respondent likewise requests that this matter be set down for a first case-management hearing at the Court's earliest convenience, and that the two claims be heard and decided together in a single set of proceedings.

Rz. 51 The Respondent requests that costs, including the court fee and the Respondent's reasonably incurred legal fees, be awarded against the Claimant in full, both in respect of the dismissal of the claim and in respect of the counterclaim.

Rz. 52 Settlement discussions. Following its letter of 26 January 2026 (Exhibit R-7), the Respondent's counsel exchanged without-prejudice correspondence with the Claimant's counsel between February and April 2026, including a response to a proposal by the Claimant to accept a reduced restitution sum in exchange for an accelerated payment timetable, which the Respondent did not accept, maintaining that no sum was due to the Claimant at all. The Respondent does not rely on the content of those discussions in support of the relief sought in this Statement of Defence and Counterclaim, which is advanced solely on the basis of the facts and legal arguments pleaded above.

Rz. 53 Document production. The Respondent will, if required by the Court, produce the underlying project-channel export from which Exhibit R-6 was compiled, the full defect log referred to at Rz. 16 above, and the minutes of the emergency Steering Committee call of 28 November 2025 described at Rz. 27 above, to the extent these are not already before the Court.

Rz. 54 Reservation. The Respondent reserves the right to adduce further evidence, including supplementary expert evidence on causation and on the quantum of its indemnification claim under Article 377 CO, and to amend or supplement this Statement of Defence and Counterclaim in the course of these proceedings.

Rz. 55 Response to the Claimant's reservation. The Respondent notes the reservation made at Rz. 54 of the Statement of Claim and reserves a corresponding right to respond to any further evidence or amendment the Claimant may advance on that basis.

VII. Evidence

Exhibit R-1 Change Request forms CR-04 and CR-07. Exhibit R-2 E-mail correspondence of September and October 2025 (legacy data extract). Exhibit R-3 Invoice INV-2025-0138 (Milestone 5 and CR-07). Exhibit R-4 Payment reminder dated 20 January 2026. Exhibit R-5 Delivery note dated 14 October 2024. Exhibit R-6 Project Compass Teams chat transcript, 28 to 30 November 2025. Exhibit R-7 Letter of 26 January 2026 rejecting the purported withdrawal. Exhibit R-8 Technical note of Mr. Ian Castellan, Northfield Systems Assurance Ltd. Exhibit R-9 Timesheet and expenses, CR-07 and Go-Live support.

Exhibit R-10 Minutes of the emergency Steering Committee call of 28 November 2025.

Zuerich, 29 June 2026

Dr. Priska Wenger

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counsel for the Respondent